

August 20, 2026

Medicare (Palmetto GBA, JM MAC)
Provider Appeals Department

RE: Formal Appeal of Claim Denial — Lacey Blick (MRN MUSC9269301), Claim MUSC-7F37-3

Patient	Lacey Blick (DOB 1989-07-13)
MRN	MUSC9269301
Member ID / Group	MED452021070 / GRP-92164
Claim number	MUSC-7F37-3
Date of service	2026-03-30
Procedure billed	CPT 59400 — Routine obstetric care including antepartum, vaginal delivery
Primary diagnosis	Z34.90 — Encounter for supervision of normal pregnancy, unspecified
Denied amount	\$13,030.92
Denial code	CARC 96 / RARC N130 — Non-covered charge(s).
Appeal deadline	2026-09-04

Dear Appeals Review Committee:

SUMMARY OF APPEAL

MUSC Health submits this first-level redetermination request to Palmetto GBA on behalf of patient Lacey Blick (MRN: MUSC9269301, Member ID: MED452021070) regarding Claim ID MUSC-7F37-3, for services rendered on March 30, 2026, at MUSC Health Ashley River Tower. The claim was submitted on April 6, 2026, and denied on May 7, 2026, in the total billed amount of \$13,030.92. This appeal is submitted within the 120-day redetermination filing window, ahead of the September 4, 2026 deadline.

CLINICAL BACKGROUND

Ms. Blick is a 37-year-old female patient with an active diagnosis of hypertension (ICD-10 I10), managed with Hydrochlorothiazide, who presented on March 30, 2026, for routine obstetric care. The encounter was billed under CPT 59400, which encompasses the global obstetric package including antepartum care and vaginal delivery, with a primary diagnosis of Z34.90 (Encounter for supervision of normal pregnancy, unspecified). The service was rendered by Robert K. Lindqvist, MD (NPI 1314059687) in an on-campus outpatient hospital setting (Place of Service 22). Ms. Blick's obstetric history is documented across multiple prior pregnancies, and her current presentation is consistent with the scope of services captured under the global obstetric code. Notably, her active hypertension diagnosis represents a comorbidity requiring clinical oversight throughout the course of obstetric management.

BASIS FOR APPEAL

Palmetto GBA denied this claim under CARC 96 ("Non-covered charge(s)") with RARC N130 ("Consult plan benefit documents/guidelines for information about restrictions for this service"), citing that the service is excluded under the member's plan benefit document. MUSC Health respectfully disputes this determination on the following grounds.

Routine obstetric care, including antepartum management and vaginal delivery as represented by CPT 59400, is a covered benefit under Medicare when medical necessity is established and applicable coverage criteria are met. Ms. Blick is an active Medicare beneficiary with a coverage period extending through December 31, 2026, encompassing the date of service in question. The denial does not identify a specific exclusion provision applicable to this patient or this service, nor does it cite a clinical basis for non-coverage. A blanket reference to plan benefit documents, without specifying the applicable exclusion, does not constitute a sufficient basis for denial and does not afford MUSC Health or the patient a meaningful opportunity to respond.

Furthermore, Ms. Blick's documented active hypertension introduces clinical complexity that supports the medical necessity of supervised obstetric care. Hypertension in pregnancy is a recognized risk factor requiring coordinated monitoring, and the provision of global obstetric services under these circumstances is consistent with generally accepted standards of care. The payer's determination does not appear to account for this clinical context.

MUSC Health requests that Palmetto GBA conduct a thorough review of the applicable Medicare coverage rules governing obstetric services for this beneficiary, including any Medicare Secondary Payer considerations that may affect benefit coordination, and provide a specific, substantiated explanation if a coverage exclusion is being applied.

REQUESTED ACTION

MUSC Health respectfully requests that Palmetto GBA overturn the denial of Claim MUSC-7F37-3 and issue payment at the allowed amount of \$8,120.86 as previously calculated, or at the applicable Medicare fee schedule rate. In the alternative, if Palmetto GBA maintains that a specific plan exclusion applies, we request a written explanation identifying the precise exclusion provision, the regulatory or contractual basis for its application, and the patient-specific rationale, so that MUSC Health and Ms. Blick may exercise further appeal rights as appropriate.

Respectfully submitted,

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Enclosures

- Remittance advice / explanation of payment
- Itemized claim detail (UB-04 / CMS-1500)
- Relevant clinical documentation from the medical record